Extracts from Annual Report: 2010

Abridged and published in accordance with Articles 51and 133 of the Company's Articles of Association

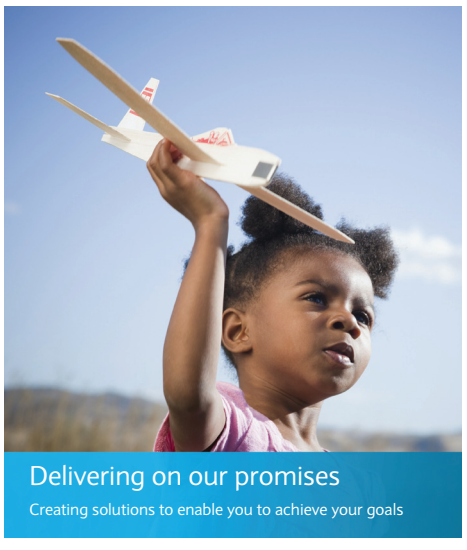
About Barclays

With over 300 years of history and expertise in banking, Barclays operates in over 50 countries and employs more than 144,000 people. Barclays moves, lends, invests, and protects money for more than 48 million customers and clients worldwide

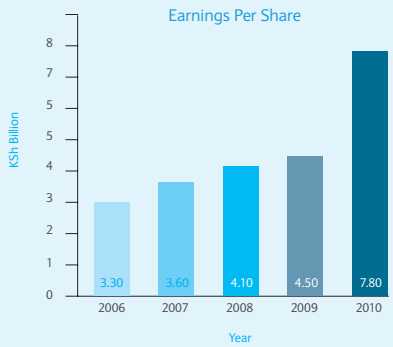
Barclays Kenya Overview

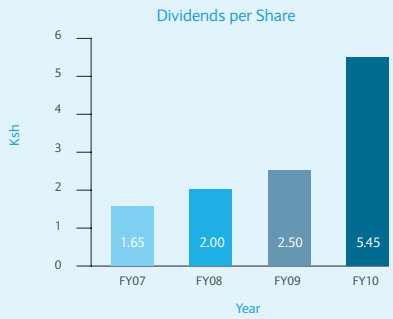
Barclays business units fall under Retail, Corporate, Treasury and Card Services with cross-functional relationships to support the segments of local business and small to mid-sized enterprises (SME).

We have operated in Kenya for 95 years, and currently have an extensive network of 117 branches and over 230 ATMs countrywide. Our network is supported by Internet and mobile banking channels plus a Customer Service Centre that operates 24 hours a day, 7 days a week.



Visit **www.barclays.co.ke** to access the full 2010 Annual Report and Financial Statements. A printed copy may be requested from the Company's Share Registrar at the following address:
Custody and Registrars Services Limited
6th Floor, Bruce House, Standard Street
P.O. Box 8484-00100, Nairobi





Francis Okomo–Okello
Chairman

Chairman's Abridged Commentary

- We have shared a positive sentiment throughout the year, and made significant investments in the business in order to position the Bank to leverage the opportunities that we foresee in the immediate and long term future.
- Following a review of performance, the Board of Directors resolved to recommend to shareholders a final dividend of Kshs. 4.70 per share, bringing the total dividend payout to Kshs. 5.45 per share for the year, up 118% from 2009 figures. At the same time, subject to shareholder and regulatory approvals, the Board resolved to recommend to shareholders a share split of 4 for every 1 of the existing ordinary shares held, making Barclays shares more available on the Nairobi Stock Exchange.
- Looking forward, we will seek to partner with our valuable stakeholders to deliver superior performance through relentless focus on customers and clients needs. We are confident in the Bank's proven strategy and well diversified business, which is supported by excellently trained and experienced employees.

Managing Director's Abridged Report

- We strengthened the business with the introduction of new products and offerings for both consumer and corporate clients. Key activities included revamping our propositions, and introducing new distribution channels and linkages with Internet and mobile banking.
- Through our efforts, we saw Barclays profit before tax increase by 51% to Kshs 13.5 billion; this includes proceeds from the sale of the Custody business. Total assets strengthened to Kshs 172 billion (2009: Kshs 165 billion), and our customer deposit base was stable at Kshs 124 billion.
- In this solid financial performance, we have seen growth in total income – driven largely by interest margin management as well as activity in loans, thereby increasing our fees and commissions.
- Furthermore, despite pressure on margins we took a leadership position in the banking industry and lowered lending rates in response to reduced Central Bank rates. This led to an overall reduction in interest rates in the industry as well as increased economic activity across the country.
- We maintained a first-class credit profile through strong risk management. We witnessed better than planned performance in our overall impairment with corporate loans reporting minimal loan impairments and consumer loan recovery rates improving by 6 per cent compared to the previous year.
- We announced our plans to implement a new business-wide technology platform that streamlines core banking operations and improves efficiency. The technology investment of approximately Kshs 3.3 billion will position the Bank to provide enhanced products and services to our customers.
- With ever-increasing pressure on interest margins, the need for operational efficiencies gets into sharper focus. As a result, we made a restructuring provision of Kshs 767 million at the end of the fourth quarter in an effort to maximise operating efficiencies for year 2011 and beyond.
- Looking forward, we anticipate that the market place will become increasingly competitive in the coming years. We realize the impact this is likely to have on our performance and priorities. We therefore will continue to work hard to deliver on the promises we make, particularly to our customers and shareholders, with our focus being on how we execute our 2011 priorities, including delivering on greater operational efficiencies and top line growth.

Adan Mohamed
Managing Director

2010 Awards

Company of the Year. 1st runner-up 2010 Company of the Year Awards

Best Commercial Bank in Kenya, Banking Awards. Sponsored by Think Business

Best Foreign Bank on Kenya 2010 Africa Banking Awards

Barclays Africa – Best Performance in Operations for the year 2010

Best Bank in Kenya - First Runner Up, FiRe Awards for Financial Reporting, sponsored by ICPAK, CMA and NSE

International Conference on Peer Education, Sexuality, HIV & AIDS (African Pot of Hope Award, sponsored by National Organisation of Peer Educators (NOPE)

Best Internal Communications Award of the Year (Guiding Principles, sponsored by Public Relations Society of Kenya)

GLOBAL FINANCE

Best Emerging Markets Bank in Kenya - Global Finance Magazine